

Bulls Make a Comeback

For all his market wisdom, Old Fox had begun to overplay his hand without realizing it. In 2009, the market started climbing mid-March onwards, slowly at first, then gathering speed. The common view was that the uptrend was unlikely to sustain. Whenever there is a trend reversal either up or down, players take a while to recognize it.

When the Nifty and the Sensex had managed to top 3,000 and 10,000 respectively by the end of March, chartists and non-chartists alike were still looking for signs that the market had finally broken away from its fourteen-month-long downtrend.

Initially, I was content with small profits, unsure if an upcycle was under way. As prices rose, I would book profits, then buy again if the stock continued to show strength. All this while, Old Fox continued to short-sell with all his might, convinced that the rally 'had no legs to stand on'.

An error even the most seasoned traders are prone to is to misjudge the point at which to start cutting down positions even as you are winning. Everybody is aware of the market truism that nobody can catch tops or bottoms except liars. The experienced trader knows he will not be able to exit his entire position at the peak price or start covering his short positions at the bottom price. If the trader is not careful, he finds himself like the soldier who gives hot pursuit to an enemy and, in doing so, unwittingly enters enemy territory.

Something similar happened to Old Fox this time. He kept selling even as the trend had changed from bearish to bullish, a shift that escaped his